

Employing in Bangladesh

What You Need to Know · Employment Hero HeroForce EOR · July 2026

What does the EOR handle for you?

- **Employment contracts** — compliant contracts under the Bangladesh Labour Act 2006, as amended in 2026
- **Monthly payroll** — salary payments in BDT, itemised payslips
- **Tax withholding** — TDS on salary calculated and remitted to the National Board of Revenue (NBR)
- **Provident Fund & gratuity** — where applicable under company policy or the amended Act
- **Leave and termination management** — notice periods, entitlements and severance/gratuity guidance

Employment Conditions

Contracts & Probation

The Labour (Amendment) Act 2026 is the broadest revision of the Bangladesh Labour Act 2006 to date, tightening severance formulas, provident fund obligations and enforcement. Bangladesh does not follow an "at-will" model — termination requires a notice period or payment in lieu.

Item	Detail	Legal Basis
Governing framework	Bangladesh Labour Act 2006, as amended by the Labour (Amendment) Act 2026	Act No. 42 of 2006, amended 2026
Probationary termination	14 days' notice or equivalent compensation	Labour Act 2006 (amended)
Provident fund	Larger employers must now establish provident funds under the 2026 amendment	Labour (Amendment) Act 2026

Working Hours & Overtime

Rule	Detail	Authority
Standard hours	8 hrs/day, 48 hrs/week	Bangladesh Labour Act 2006
Overtime premium	200% of ordinary hourly rate (double rate)	Bangladesh Labour Act 2006

Minimum Wage (2026)

Bangladesh sets minimum wages by industry sector through Minimum Wage Boards rather than a single national rate; the readymade garment (RMG) sector is the most closely watched and periodically revised.

Leave Entitlements

Leave Type	Entitlement	Who Pays	Key Condition
Annual Leave	Minimum 21 days/year	Employer	After 12 months' continuous service
Maternity Leave	16 weeks (8 before + 8 after birth)	Employer	Aligned with amended maternity-benefit clauses under 2026 rules
Festival Bonus	Typically 2x per year, each equal to basic salary	Employer	Paid around major religious festivals; sector convention rather than a single fixed rule
Gratuity	Fully employer-funded lump sum	Employer	After 5+ years of service in most schemes; enhanced rates under the 2026 reforms

Payroll, Tax & Contributions

Employer Costs

Bangladesh does not operate a comprehensive mandatory social security system funded through payroll taxes. Employer cost is instead built around income tax withholding (TDS), optional or company-established Provident Fund contributions, and end-of-service benefits.

Contribution	Typical Rate	Notes
Provident Fund (where operated)	5%-10% of basic salary, matched by employer	Mandatory for certain establishments/sectors under the 2026 amendment; otherwise per company policy
Workers' Profit Participation Fund (WPPF)	5% of net profit before tax	Applies to companies with 100+ workers meeting capital/asset thresholds
Group insurance	Mandatory for establishments with 200+ workers	Employer-funded

Total Cost Example — USD \$3,000 Gross Monthly Salary

Cost Item	Amount (USD)	% of Gross
Gross salary	\$3,000.00	100%
Provident Fund (illustrative, 7% matched)	\$210.00	7.00%
Gratuity accrual (illustrative)	\$75.00	2.50%
EOR service fee (HeroForce, Tier 2)	\$600.00	20.00%

Estimated total monthly cost	~\$3,885.00	~129.5%
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HeroForce EOR service fee shown at USD \$600 per employee per month (Tier 2 pricing), no setup fee. Provident Fund is only mandatory for certain establishments under the 2026 amendment — this example assumes a scheme is in place. Employee deductions (withheld separately) include any employee-side Provident Fund contribution and TDS on salary.

Income Tax (TDS, FY 2025-26 / 2026-27)

Income tax is progressive, with a significantly higher tax-free threshold than most regional peers.

Annual Income (BDT)	Rate
Up to 375,000 (general taxpayers)	0%
Next slabs	Progressive, rising to 25% for top earners

Higher tax-free thresholds apply to women, senior citizens (65+), persons with disabilities, third-gender individuals and recognised freedom fighters. Non-residents are taxed at a flat 30% with no deductions.

Termination & Separation

Notice & Severance

Scenario	Requirement	Key Rule
Termination (permanent employee)	Typically 1 month's notice or payment in lieu	Bangladesh Labour Act 2006 (amended)
Retrenchment severance	30 days' wages per completed year of service	Labour (Amendment) Act 2026
Employee resignation without notice	Employee owes wages equal to the notice period	Bangladesh Labour Act 2006
Final settlement	Wages, leave encashment and Provident Fund balance due promptly (generally within 30 days)	Labour (Amendment) Act 2026

★ **HERO TIP**

The Labour (Amendment) Act 2026 is the broadest revision of Bangladesh's employment framework in years — recalculate severance obligations, provident fund arrangements and end-of-service accruals against the amended formulas before relying on pre-2026 templates. Always confirm current requirements with your HeroForce EOR before finalising a Bangladesh termination.

Public Holidays 2026 (Illustrative)

Bangladesh observes a mix of national and religious holidays; Islamic calendar dates (Eid-ul-Fitr, Eid-ul-Adha) shift each year and are confirmed closer to the time based on moon-sighting.

Date (2026, approx.)	Holiday	Type
21 February	International Mother Language Day	National
26 March	Independence Day	National
14 April	Bengali New Year (Pohela Boishakh)	National
1 May	May Day	National
~March/April	Eid-ul-Fitr (multi-day)	National (Islamic calendar)
~May/June	Eid-ul-Adha (multi-day)	National (Islamic calendar)
16 December	Victory Day	National
25 December	Christmas Day	National

Eid holidays are typically extended into multi-day breaks and are among Bangladesh's most significant holiday periods — confirm the finalised government schedule closer to the date.

Ready to hire in Bangladesh?

HeroForce by Employment Hero is an Employer of Record solution that handles hiring, contracts, compliance and payroll across 180+ countries.

Onboard your first Bangladesh employee in as little as one to two weeks — HeroForce EOR service fee: **USD \$600** per employee per month, no setup fee (Tier 2).